



Bringing In Revenues  
for Nation-Building

REPUBLIC OF THE PHILIPPINES  
DEPARTMENT OF FINANCE  
**BUREAU OF INTERNAL REVENUE**  
National Office Building  
Quezon City



REVENUE MEMORANDUM CIRCULAR NO. 047-2026

**SUBJECT : Prescribing Simplified and Streamlined Guidelines and Procedures in the Closure and/or Cancellation of Business Registration with the Bureau of Internal Revenue**

**TO :** All Internal Revenue Officers and Others Concerned

**SECTION 1. Purpose.** – Pursuant to Section 5(J) of Revenue Regulations No. 7-2024 and Revenue Memorandum Circular No. 91-2024, implementing Republic Act (RA) No. 11976, or the “Ease of Paying Taxes Act,” this Circular is hereby promulgated to simplify, standardize, and streamline the guidelines and procedures in the processing of applications for closure and/or cancellation of taxpayer’s business registration with the Bureau of Internal Revenue (BIR).

**SECTION 2. Coverage.** – This Circular shall apply to all business taxpayers registered with the BIR, whether domestic or foreign, resident or non-resident, that have permanently ceased business operations or have otherwise become subject to closure or cancellation of business registration, including but not limited to the following persons:

1. Individual taxpayers engaged in trade or business or in the practice of profession, whether self-employed or professionals, including those earning income from digital or online platforms;
2. Non-individual taxpayers, including corporations, partnerships, joint ventures, associations, cooperatives, and other juridical entities duly registered with the BIR;
3. Estates and Trusts, Government Agencies and Instrumentalities (GAIs), Government-Owned and Controlled Corporations (GOCCs), and Government Financial Institutions (GFIs); and
4. Business taxpayers classified as Micro, Small, Medium, or Large taxpayers, in accordance with existing laws, and revenue issuances.

**SECTION 3. Modes and Venue of Filing of Application for Closure and/or Cancellation of Business Registration.** – The application for closure and/or cancellation of business registration, together with the required documents, shall be submitted to the concerned Revenue District Office (RDO) where the taxpayer’s Head or Branch Office is registered, either electronically, by sending the documents using the taxpayer’s official email address as duly registered with the BIR, to the RDO’s official email address, or through the BIR’s electronic registration facilities (i.e. Taxpayer Registration-Related Application (TRRA) Portal, and Online Registration and Update System (ORUS)), or manually, by personally submitting the documents to the concerned RDO. *Provided that*, documentary requirements, under Items 3 and 4 in Section 4 hereof shall be submitted manually.

BIR National Office Bldg., Senator Miriam Defensor-Santiago Avenue, Diliman, Quezon City

Website: [www.bir.gov.ph](http://www.bir.gov.ph)

Trunkline: 8981-7000 ; 8929-7676

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ADMIN UNIT - 1

TIME: 5:19 pm



**SECTION 4. Documentary Requirements.** – Only the following documents shall be submitted for the closure and/or cancellation of taxpayer's business registration with the BIR:

1. Application for Registration Information Update/Correction/Cancellation (BIR Form No. 1905) (2 original copies);
2. List of ending inventory of goods and supplies, including capital goods, for VAT-registered taxpayers (1 original copy);
3. Unused invoices/supplementary documents and all other unutilized accounting forms such as vouchers, debit/credit memos, delivery receipts, purchase orders, etc., as may be applicable, together with the Inventory thereof; and
4. Original BIR Notices and BIR Permits issued to taxpayer, as may be applicable:
  - a. Certificate of Registration (COR)/Electronic COR (BIR Form No. 2303);
  - b. Authority To Print;
  - c. Notice to Issue Invoice;
  - d. Accreditation Certificate and Permit to Use - for Cash Register Machine/Point-of-Sales; and
  - e. Electronic Invoicing/Receipting System (EIS) Certificate and Permit to Transmit.
5. For applications filed by a representative of the taxpayer:
  - a. **For individual taxpayer:** Notarized Special Power of Attorney executed by the taxpayer-applicant, specifically authorizing the representative to process the application for the closure and/or cancellation of the taxpayer's registration and photocopy of any government-issued ID of the taxpayer and of the authorized representative, both with original specimen signature.
  - b. **For non-individual taxpayer:** Notarized Board Resolution or Written Resolution in case of One Person Corporation (OPC), or Secretary's Certificate, authorizing the representative to process the application for the closure and/or cancellation of the taxpayer's registration and photocopy of any government-issued ID of the OPC or Corporate Secretary and of the authorized representative, both with original specimen signature.  
  
**For closure and/or cancellation due to the death of an individual proprietor:** Death Certificate and any competent document/s (e.g. Deed of Self Adjudication or Deed of Extra-Judicial Settlement with Special Power of Attorney) evidencing the authority of the heir/executor/administrator to act for the estate of the decedent.

**SECTION 5. Filing and Payment of Final Tax Returns.** – The taxpayer shall file all final or short-period tax returns covering the period from the beginning of the taxable year up to the date of closure for all applicable tax types and pay the corresponding taxes due thereon. For periods during which there was no business activity, the taxpayer shall file zero returns.

**SECTION 6. Effect of Submission of Documentary Requirements and Completion of the Closure and/or Cancellation of Business Registration Process.** – The registration of the taxpayer shall be cancelled upon mere filing and submission of the complete requirements enumerated under Section 4 hereof, either electronically or manually, with the RDO where



the taxpayer is registered. Penalties for non-filing of returns shall not accrue after the submission of the required documentary requirements under Section 4 hereof. For this purpose, the taxpayer's registered form types shall be placed under "deregistered" upon submission of the complete documentary requirements to ensure that no open cases will be generated.

For micro taxpayers or taxpayers whose gross sales for the immediately preceding year do not exceed Three Million Pesos (P3,000,000.00) or whose gross assets upon retirement do not exceed Eight Million Pesos (P8,000,000.00), the Tax Clearance shall be issued within three (3) working days from the date of submission of the application with complete documentary requirements, if the taxpayer has no open cases or outstanding liabilities, or within (3) working days from the date of submission of the application with complete documentary requirements and payment of any outstanding tax liabilities, including penalties. Thereafter, the business name registration status of the taxpayer shall be updated to "Closed" in the BIR registration database. Micro taxpayers shall not be subject to mandatory audit for closure and/or cancellation of business registration.

The updating of the registration status to "Closed" shall complete the closure or business registration cancellation process for individual taxpayers. For non-individual taxpayers, the TIN shall subsequently be cancelled to complete the closure or business registration cancellation process.

For taxpayers with pending audit under an existing Letter of Authority, or taxpayers whose gross sales for the immediately preceding year exceed Three Million Pesos (P3,000,000.00) or whose gross assets upon retirement exceed Eight Million Pesos (P8,000,000.00), the Tax Clearance shall be issued and the closure or business registration cancellation process completed, only after the termination of the conduct of the audit.

**SECTION 7. *Effect of Failure to Apply for Closure and/or Cancellation of Business Registration.*** – Taxpayers who cease business operations without submitting the documentary requirements for the closure and/or cancellation of their business registration with the BIR, prescribed under Section 4 hereof, shall continue to be liable for all their tax obligations, including the filing of tax returns and payment of taxes, including penalties, until closure and/or cancellation of business registration is completed with the BIR, as provided under Section 6 hereof.

**SECTION 8. *Repealing Clause.*** – All existing rules which are inconsistent with the provisions of this Circular are hereby amended, modified or repealed accordingly.

**SECTION 9. *Effectivity.*** – This Circular shall take effect immediately.

All internal revenue officials, employees, and others concerned are hereby enjoined to give this Circular as wide a publicity as possible.



  
**CHARLITO MARTIN R. MENDOZA**  
Commissioner of Internal Revenue

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